

EQUITY RESEARCH · COMPANY DEEP DIVE

Walmart Inc. (WMT.US)

Consumer Defensive · Discount Stores

Large Cap (>\$200B) · Report Date: August 24, 2026

Latest financials: Q1 FY2026 · Model data as of 2026-08-24

UNDERWEIGHT

Composite · Valuation: SELL

Target \$91.83 · -12.1% upside

Price \$104.48

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$91.83 (-12.1% vs \$104.48); DCF 32% + Comps 53% + Analyst 15% valuation after outlier checks.
- Modest revenue growth; compressed margins; strong roe; positive fcf generation
- Moderate revenue expansion (5.9% YoY)

MULTI-PILLAR INVESTMENT SIGNAL

| Pillar       | Rating / Signal | Key Metric                   | Wt  |
|--------------|-----------------|------------------------------|-----|
| Valuation    | SELL            | Blended PT \$91.83           | 45% |
| FSA          | Stable          | Health +0.00 · Stable        | 20% |
| Technical    | BEARISH         | Bearish · Death Cross        | 20% |
| Quantitative | POSITIVE        | Score +0.45 · 12m +9%        | 15% |
| Composite    | UNDERWEIGHT     | Score -0.26 · 50% confluence | —   |

Fundamental and technical both bearish.

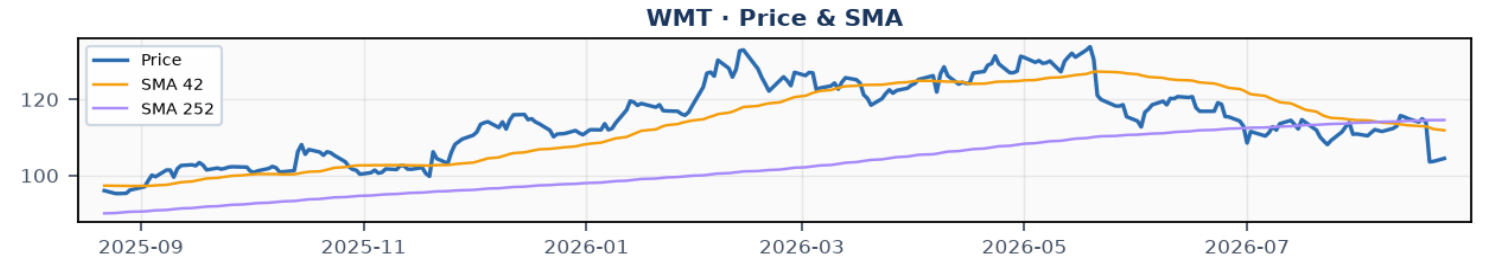
INVESTMENT THESIS / EXECUTIVE SUMMARY

Walmart Inc. (WMT) — Consumer Defensive. Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates... **SELL** rating; blended target \$91.83. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

| Item          | Value              | Item         | Value    |
|---------------|--------------------|--------------|----------|
| Market Cap    | \$831.46B          | Shares Out.  | 7958.1M  |
| 52-Week Range | \$95.42 – \$135.16 | P/E (TTM)    | 37.9x    |
| P/B           | 8.8x               | Beta         | 0.60     |
| Avg Volume    | 24.63M             | Analyst Rec. | Buy      |
| Revenue (TTM) | \$735.84B          | Rev Growth   | +5.9%    |
| Op. Margin    | 5.0%               | FCF (TTM)    | \$14.92B |
| Gross Margin  | 25.2%              | ROE          | 22.3%    |
| EV/EBITDA     | 19.0x              | Debt/Equity  | 70.4%    |
| EPS (TTM)     | \$2.76             | Div Yield    | 95.0%    |

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

| Metric             | FY 2025A | FY 2026A | FY 2027E | FY 2028E | FY 2029E |
|--------------------|----------|----------|----------|----------|----------|
| Revenue (\$M)      | 680,985  | 713,163  | 755,240  | 792,095  | 825,094  |
| Revenue Growth (%) | N/A      | 4.7%     | 5.9%     | 4.9%     | 4.2%     |
| Net Income (\$M)   | 19,436   | 21,893   | 23,185   | 24,316   | 25,329   |
| Gross Margin (%)   | 24.9%    | 24.9%    | 25.2%    | 25.2%    | 25.2%    |
| Net Margin (%)     | 2.9%     | 3.1%     | 3.1%     | 3.1%     | 3.1%     |
| EPS (\$)           | 2.44     | 2.75     | 2.91     | 3.06     | 3.18     |
| P/E (x)            | 42.78    | 37.98    | 35.86    | 34.19    | 32.83    |

TECHNICAL & QUANTITATIVE ANALYSIS

| Metric             | Value    | Notes                                                        | Metric               | Value  | Notes      |
|--------------------|----------|--------------------------------------------------------------|----------------------|--------|------------|
| SMA (42d)          | \$111.89 | Short-term trend                                             | 12m Momentum         | +8.8%  |            |
| SMA (252d)         | \$114.59 | Long-term trend                                              | 3m Momentum          | -11.7% |            |
| RSI (14d)          | 33.2     | Momentum oscillator                                          | Ann. Volatility      | 22.3%  |            |
| Trend              | Bearish  |                                                              | Sharpe Ratio         | 0.61   | Rf=4%      |
| Golden Cross (20d) | No       | Death Cross                                                  | Max Drawdown         | -25.7% |            |
| Death Cross (20d)  | Yes      | 12d ago                                                      | Rel. Strength vs SPY | +41.7% |            |
| TA Signal          | BEARISH  | Death Cross within last 20d; SMA42=\$111.89, SMA252=\$114.59 | Quant Score          | +0.45  | POSITIVE   |
|                    |          |                                                              | SMA Backtest (ann.)  | 24.3%  | B&H; 25.3% |

VALUATION CROSS-CHECK

| Valuation Method  | Implied Price | vs. Current | Weight in | Notes                             |
|-------------------|---------------|-------------|-----------|-----------------------------------|
| DCF (FCFE)        | \$81.93       | -21.6%      | 32%       | Included in blend                 |
| Comps — Blended   | \$87.45       | -16.3%      | 53%       | Included in blend                 |
| Analyst consensus | \$128.43      | +22.9%      | 15%       | Included in blend                 |
| Blended target    | \$91.83       | -12.1%      | 100%      | DCF 32% + Comps 53% + Analyst 15% |

DCF (FCFE) SUMMARY

| Ke    | Terminal g | FCFE growth | Equity value | Implied price | vs. Current |
|-------|------------|-------------|--------------|---------------|-------------|
| 7.50% | 4.00%      | 12.00%      | \$652.02B    | \$81.93       | -21.6%      |

PEER COMPARISON · INDUSTRY CONTEXT

| Ticker | Company                | Market Cap | P/E   | EV/EBITDA | Net Margin | Rev Growth |
|--------|------------------------|------------|-------|-----------|------------|------------|
| COST   | Costco Wholesale Corpo | \$427.03B  | 48.4x | 30.4x     | 3.0%       | +21.5%     |
| TGT    | Target Corporation     | \$77.29B   | 17.6x | 10.3x     | 4.1%       | +5.3%      |
| DG     | Dollar General Corpora | \$27.34B   | 17.5x | 12.3x     | 3.6%       | +3.4%      |
| DLTR   | Dollar Tree, Inc.      | \$25.82B   | 21.6x | 13.2x     | 6.5%       | +7.2%      |
| WMT*   | Walmart Inc.           | \$831.46B  | 37.9x | 19.0x     | 3.0%       | +5.9%      |

\* Subject company. Commands premium p/e vs peers; below-peer profitability. Trends: Moderate revenue expansion (5.9% YoY); Defensive profile (β=0.60); Sector: Consumer Defensive | Industry: Discount Stores · Risks: Standard sector cyclicality and macro exposure Modest revenue growth; compressed margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.